Question #1 of 46

Question ID: 1674878

Which of the following risks is the *most* qualitative in nature?

A) Liquidity risk.

B) Reputational risk.

C) Credit risk.

Explanation

Reputational risk is the most qualitative—although it can be identified, the impact from a damaged reputation is difficult to measure. Credit and liquidity risk has considerable data to help quantify risk exposures.

(Module 12.4, LOS 12.c)

Question #2 of 46

Question ID: 1674850

Which of the following forms of analysis has a backward-looking bias?

A) Quantitative tools.

B) Both quantitative tools and qualitative assessments.

C) Qualitative assessments.

Explanation

Both forms of analysis have a backward-looking bias as they rely upon historic data inputs and experience. Risk managers have an inbuilt backward-looking bias (implicit bias) based upon their own personal experiences.

(Module 12.1, LOS 12.a)

Question #3 of 46

Question ID: 1674864

In addition to setting the overall risk tolerance, where are additional risk parameters such as limits, requirements, and guidelines codified?

A) The risk policy manual.

B) The IPS.

C) The risk framework.

Explanation

Additional risk parameters are codified in the IPS.

(Module 12.2, LOS 12.e)

Question #4 of 46

Question ID: 1674867

In relation to institutional investors with an explicit active risk budget in public equities, which of the following is *most accurate* of the desired investment strategy?

A) Allocate to growth and value factors.

B) Allocate to momentum factors.

C) Allocate to stock pickers.

Explanation

Allocating to factors is a passive investment strategy. Allocating to stock pickers is an active approach.

(Module 12.2, LOS 12.e)

Question #5 of 46

Question ID: 1674849

Which of the following are two important aspects of illiquid asset classes?

A) Zero cash flows and return unsmoothing issues.

B) Lack of cash flows and return smoothing issues.

C) Uncertain cash flows and return smoothing issues.

Explanation

Two important aspects of illiquid asset classes are uncertain cash flows and return smoothing issues. The uncertain cash flows especially relate to the private equity and infrastructure asset classes over the medium to long term. Smoothing results from relying upon appraisal estimates due to the lack of actual transactions. Smoothed returns result in downward biased estimates of return volatility.

(Module 12.1, LOS 12.a)

Question #6 - 9 of 46

Question ID: 1674854

Regarding the impact of the illiquid holdings on the reported correlations within the SWF, correlations will *most likely* be:

A) correctly stated. ✗

B) overstated. ✗

C) understated. ✓

Explanation

Illiquid real estate and private equity assets are often valued using appraisals, which lag the "true" market values. That results in the problem of smoothed returns and downward-biased (understated) estimates of volatility. The smoothing problem leads to correlations between the illiquid assets and the rest of the portfolio to appear to be *lower* than they actually are. In reality, correlations between the illiquid assets and the rest of the portfolio are higher than what is reported.

(Module 12.1, LOS 12.a)

Question #7 - 9 of 46

Question ID: 1674855

Regarding the impact of the illiquid holdings on the reported return volatility within the SWF, return volatility will *most likely* be:

A) overstated. ✗

B) correctly stated. ✗

C) understated. ✓

Explanation

Appraisal values tend to lag "true values" as they are backward-looking by nature. The smoothing issue caused by appraisals results in underestimates of return volatility. In a rising market, appraised values are too low; in a falling market, appraised values are too high. In both cases, smoothing creates a downward bias (understated) in the reported return volatility.

(Module 12.1, LOS 12.a)

Question #8 - 9 of 46

Question ID: 1674856

Which of the following statements made by Flores in her report to the investment committee is accurate?

A) Statement 2 only.

B) Both Statements 1 and 2.

C) Statement 1 only.

Explanation

Statement 1 is accurate. The objective for both SWFs (savings) and endowments/foundations is to maintain the purchasing power of the assets over time, thereby promoting intergenerational equity.

Statement 2 is not accurate. It is actually market liquidity that refers to how quickly an asset can be sold at a fair price. Funding liquidity is about being able to meet financial obligations when due.

(Module 12.1, LOS 12.a)

Question #9 - 9 of 46

Question ID: 1674857

Which of the following statements made by Flores in her report to the investment committee is accurate?

A) Statement 3 only.

B) Statement 4 only.

C) Neither Statement 3 nor 4.

Explanation

Statement 3 is not accurate. MVO does fall short as an optimization tool even after applying unsmoothing adjustments, as MVO is not able to account for the illiquidity of some asset classes.

Statement 4 is not accurate. Calculations of VaR and CVaR focus on relatively short time periods—they are, therefore, short-term risk metrics. MCS provides estimates of asset values and cash flow spending over longer time periods.

(Module 12.1, LOS 12.a)

Question #10 of 46

Question ID: 1674852

Return smoothing results from investments in illiquid assets held for long periods of time in private markets. Which of the following statements regarding smoothing is *most accurate*?

A) The impact of smoothing is always an upward bias on return volatility. ✗

B) The impact of smoothing may be either a downward or upward bias on return volatility. ✗

C) The impact of smoothing is always a downward bias on return volatility. ✓

Explanation

Smoothing creates a false picture of volatility by applying a downward bias. The impact of smoothing in a rising market is that asset values and return estimates are too low, leading to falsely low return volatility. In a falling market, asset values and return estimates are too high, leading again to a false picture of low volatility. The common impact of smoothing on return volatility is that it always appears low, creating a false impression of lower risk.

(Module 12.1, LOS 12.a)

Question #11 of 46

Question ID: 1674870

Which of the following is not a step in the enterprise risk management process?

A) Mitigate all risks. ✓

B) Strategic analysis. ✗

C) Reports and communications. ✗

Explanation

The objective is not to mitigate all risks; rather, it is to modify risk exposures in line with risk tolerance.

(Module 12.2, LOS 12.e)

Question #12 - 15 of 46

Question ID: 1674885

Which of the following infrastructure projects is *most likely* to provide a lower level of control over the investment?

A) Project B. ✗

B) Project A. ✗

C) Project C. ✓

Explanation

Direct investments involve owning shares in a portfolio company directly rather than indirectly as an investor in an investment fund. Being a direct investor brings a higher degree of control over the investment (e.g., the timing of exits, access to information, and potentially having representation on the board for large direct shareholders).

Key features of direct investments include lower management fees, more concentrated positions, and the potential for additional liabilities being a direct owner of the business.

Indirect investments are investments via investment funds—incurring higher management fees, having less control in general and control over liquidity exits, but having the benefit of increased diversification.

From the descriptions just listed, Project A, Project B, and Project D are direct investments; Project C is an indirect investment. Therefore, Project C has a lower level of control as it is an indirect form of investing, evidenced from the higher level of diversification.

(Module 12.4, LOS 12.d)

Question #13 - 15 of 46

Question ID: 1674886

Which of the following infrastructure projects is likely to be the *most* illiquid?

A) Project C. ✓

B) Project D. ✗

C) Project B. ✗

Explanation

Project C is the only indirect form of investment, so it is the most illiquid. Indirect forms of investment are via investment funds, which provide a good level of diversification but do not provide any control over the timing of exits. Projects A, B, and D show characteristics of direct infrastructure investments such as lower fees, potential additional liabilities, and higher levels of liquidity due to control over project exits.

(Module 12.4, LOS 12.d)

Question #14 - 15 of 46

Question ID: 1674887

Which of the following projects is *most likely* to be an indirect infrastructure investment?

A) Project A, Project B, and Project C. ✗

B) Project C only. ✓

C) Project A and Project B. ✗

Explanation

Indirect forms of investment are via investment funds and are characterized by higher fees, no additional liabilities, less control in general over assets, lower liquidity due to the lack of control over exits, and increased diversification.

Project C is the only indirect form of investment, and so it is the most illiquid. Projects A, B, and D show characteristics of direct infrastructure investments such as lower fees, potential additional liabilities, and higher level of liquidity due to control over project exits.

(Module 12.4, LOS 12.d)

Question #15 - 15 of 46

Question ID: 1674888

Which of the following projects is *most likely* to result in reduced principal-agent issues?

A) Project D only. ✗

B) Project B and Project D. ✗

C) Project A, Project B, and Project D. ✓

Explanation

Principal-agent issues potentially result from indirect investments where investors have to rely upon an external fund manager making decisions on behalf of clients.

Project A, Project B, and Project D are direct investments that have reduced principal-agent issues. These projects are identified as direct investments by the higher level of liquidity, lower fees, and the potential for additional liabilities.

Project C is an indirect investment identified by the higher level of diversification, so it will have increased principal-agent issues.

(Module 12.4, LOS 12.d)

Question #16 of 46

Question ID: 1674874

Which of the following considers the impacts of climate change mitigation and adaptation on local communities and individuals in developing countries, providing communications and support to those impacted?

A) Fair transition. ✗

B) Just transition. ✓

C) Equitable transition. ✗

Explanation

A just transition considers the impacts of climate change mitigation and adaptation on local communities and individuals in developing countries, providing communications and support to those impacted.

(Module 12.3, LOS 12.b)

Question #17 of 46

Question ID: 1674882

Which of the following is an advantage of a direct investment rather than an indirect investment structure when investing in long-term illiquid assets?

A) Lower principal-agent issues. ✓

B) Lower liability risks. ✗

C) Lower staff costs. ✗

Explanation

Direct investing will require an internal investment team as well as the need to attract and retain talented, experienced staff members. This will result in higher staff costs.

Being a direct owner brings the potential for additional liabilities that are not present when investing via an indirect investment fund.

An advantage of direct investing is that there is no need for the principal-agent relationship with external fund managers. This reduces the potential for conflicts of interest in this relationship where situations can arise, questioning whether the manager is putting his own interests before the investor.

(Module 12.4, LOS 12.d)

Question #18 - 21 of 46

Question ID: 1674859

The firm's risk management process will *most likely* be successful using:

A) a top-down perspective only. ✗

B) both a top-down and bottom-up perspective. ✓

C) a bottom-up perspective only. ✗

Explanation

Risk management requires both a top-down and a bottom-up perspective. From a top-down perspective, the board of directors and the chief investment officer set overall risk guidelines for the portfolio that serve as guardrails within which the investment team is expected to operate. Risk management involves measuring, monitoring, and reporting portfolio results versus the guidelines.

The investment team is tasked with implementing the overall investment strategy, either through hiring external asset managers or by directly buying and selling assets. The investment team takes a more bottom-up, subportfolio approach to managing the risks of each individual portfolio or asset class, while assessing and monitoring their interaction and impact on the risk level of the overall portfolio.

(Module 12.2, LOS 12.e)

Question #19 - 21 of 46

Question ID: 1674860

Which of the following risks is *most likely* to be overlooked by institutional investors?

A) Asset allocation drift. ✓

B) Inflation. ✗

C) Liquidity. ✗

Explanation

Institutional investors usually perform risk factor analysis to better understand their risk exposures. Those exposures include equity risk, interest rate risk, credit risk, currency risk, inflation risk, and liquidity risk.

In contrast, one risk that often gets overlooked is asset allocation drift. The investment portfolio should be rebalanced on a regular basis to bring it back in line with the strategic asset allocation that was approved by the board.

(Module 12.2, LOS 12.e)

Question #20 - 21 of 46

Question ID: 1674861

The climate-related risk pertaining to the coastal areas of Europe is *best* described as:

A) chronic physical climate risk. ✓

B) climate transition risk. ✗

C) acute physical climate risk. ✗

Explanation

Chronic physical climate risks are the gradual impacts of climate change. Examples include rising sea levels and rising temperatures from global warming.

In contrast, acute physical climate risks are one-off weather events such as wildfires, hurricanes, storms, droughts, and heat waves.

Climate transition risk is the risk of being too slow to transition to the new zero-carbon world, effectively left behind with an outdated business model.

(Module 12.2, LOS 12.e)

Question #21 - 21 of 46

Question ID: 1674862

In the context of climate risk responses, a carbon tax is *best* described as:

A) a reduction strategy. ✗

B) a mitigation strategy. ✓

C) an adaptation strategy. ✗

Explanation

Climate risk mitigation and adaptation strategies reduce the vulnerability to both physical and transition climate risks. Mitigation strategies reduce the reliance on fossil fuels and carbon-intensive resources. Increases in carbon regulation, restrictions on usage, and carbon taxes will likely increase input costs.

Adaptation strategies look to prosper in the zero-carbon world, investing in markets, companies, and technologies that are likely to benefit from the transition. Climate change brings many new opportunities aligned to future decarbonization policy and regulation—and it aligns to changing consumer preferences and the opening of new zero-carbon markets, products, and services.

In the context of climate risk responses, there is no such thing as a reduction strategy per se.

(Module 12.2, LOS 12.e)

Question #22 - 25 of 46

Question ID: 1674890

When evaluating the liquidity risk to GC of accepting the following two investments, which of the following is *most accurate*?

A) The liquidity risk to GC is relatively high in CCC and low in NCC. ✗

B) The liquidity risk to GC is relatively high in both CCC and NCC. ✗

C) The liquidity risk to GC is relatively low in both CCC and NCC.

Explanation

The proposed investments in CCC of $8 million and NCC of $4 million represent only 1.3% and 0.67% of GC's total assets of $600 million, respectively. Therefore, investing in these potential projects will not have a material impact on GC's liquidity. The scenario states that each of the investments is illiquid and that the investment horizon for each is 7 to 10 years. However, this question focuses on the liquidity risk for GC rather than at the individual asset level.

(Module 12.4, LOS 12.c)

Question #23 - 25 of 46

Question ID: 1674891

Which of the following is *most likely* to be the biggest risk factor for CCC over the investment horizon?

A) Transition risk.

B) Chronic physical risk.

C) Acute physical risk.

Explanation

CCC has an expanding prime property portfolio at coastal locations. A major impact of climate change and global warming is rising sea levels. Over time, coastal locations will see an increased risk of flooding, and individuals and businesses are likely to be impacted. As CCC has all of its property portfolio at risk, it is unlikely to benefit from any diversification within its property portfolio. The risk of the gradual rise in sea level is termed *chronic physical climate risk*.

Acute physical climate risks are the impacts of one-off weather events such as storms, heatwaves, or wildfires. While one-off weather events can be damaging, over the longer term, the rise in sea level may result in some coastal areas being permanently uninhabitable.

Transition risk is the risk of failing to adapt to a zero-carbon economy. Transition risk results in an outdated business model due to changes in carbon policy and taxes, failure to adopt new technologies, and shifts in market demand. CCC has been quick to adapt its operations to benefit from solar and wind technologies and has already carved out a niche green clientele.

While CCC is exposed to all three risks to some degree, building a portfolio of coastal properties results in very high levels of acute physical risk over the 7- to 10-year time horizon. Chronic physical risk would be more likely beyond the 10-year investment time horizon.

(Module 12.4, LOS 12.c)

Question #24 - 25 of 46

Question ID: 1674892

In evaluating the three investments, which is the *most* illiquid for GC and why?

A) NCC, due to the investment structure. ✓

B) CGR, due to the additional sector risk. ✗

C) CCC, due to the investment size. ✗

Explanation

When evaluating the illiquidity of the three investments, the key factor to consider is the investment structure (i.e., the investment is either a direct or an indirect investment). Direct investments (as in CCC and CGR) provide additional control as to the timing of exits, resulting in increased liquidity for GC. Indirect investments (as in NCC) are investments in fund-based investment structures, where GC will have no control over exits. All three investments have a similar time horizon of 7 to 10 years.

(Module 12.4, LOS 12.d)

Question #25 - 25 of 46

Question ID: 1674893

Based only on information provided in the scenario, which of the following is *most likely* to be accurate regarding the ESG exposures of the FREIDA pension plan?

A) Exposures tilted away from firms that are currently heavily dependent on fossil fuels. ✗

B) Exposures tilted toward firms that will prosper in a carbon-neutral economy. ✗

C) A similar level of exposure as the wider economy. ✓

Explanation

Large long-term institutional investors are termed *universal owners*. This universal ownership relates to large portfolios that have aggregate exposures that resemble the wider economy. In relation to ESG issues, for every portfolio company that is well prepared for transition risk, the portfolio is as likely to hold a company that is not as well prepared just due to the aggregate size of the portfolio.

(Module 12.3, LOS 12.b)

Question #26 of 46

Question ID: 1674868

Which of the following is the first step in the five-step liquidity risk management process?

A) Establish liquidity risk parameters. ✓

B) Develop a cash flow model and project future expected cash flows. ✗

C) Review the enterprise risk framework. ✗

Explanation

This is the five-step liquidity risk management process:

1. Establish liquidity risk parameters.
2. Assess the liquidity of the current portfolio and monitor the evolution over time.
3. Develop a cash flow model and project future expected cash flows.
4. Stress test liquidity needs and cash flow projections.
5. Develop an emergency plan.

(Module 12.2, LOS 12.e)

Question #27 of 46

Question ID: 1674869

Which of the following is the final step in the five-step liquidity risk management process?

A) Stress test liquidity needs and cash flow projections. ✗

B) Develop a cash flow model and project future expected cash flows. ✗

C) Develop an emergency plan. ✓

Explanation

This is the five-step liquidity risk management process:

1. Establish liquidity risk parameters.
2. Assess the liquidity of the current portfolio and monitor the evolution over time.
3. Develop a cash flow model and project future expected cash flows.
4. Stress test liquidity needs and cash flow projections.
5. Develop an emergency plan.

(Module 12.2, LOS 12.e)

Question #28 of 46

Question ID: 1674863

Which of the following is the *most* important investment decision made by the board?

A) Internal team or external managers. ✗

B) Strategic asset allocation. ✓

C) Required liquidity profile. ✗

Explanation

The strategic asset allocation flows from the board setting the risk tolerance; it is the most important decision made by the board. The strongest driver of investment performance is asset allocation, so it is important that the board gets this right for the objectives of the institution.

(Module 12.2, LOS 12.e)

Question #29 of 46

Question ID: 1674848

Which of the following is inaccurate of risk systems?

A) Returns-based risk systems are cheaper than holdings-based risk systems. ✗

B) Returns-based risk systems are not feasible for hedge fund investments. ✓

C) Holdings-based risk systems are more difficult to implement than returns-based risk systems. ✗

Explanation

Returns-based risk systems use historic returns to understand risk exposures and make future return estimates. Returns-based risk systems are relatively easy and cheaper to implement compared to holdings-based risk systems that are more time-consuming and costly. Details of the individual holdings are often not available when investing in hedge funds due to the lack of transparency related to proprietary investment strategies.

(Module 12.1, LOS 12.a)

Question #30 of 46

Question ID: 1674875

In designing investment policy and strategy, which of the following is *most accurate* of long-term institutional investors?

A) Allocate to strike a balance between both fixed-income investments and riskier higher-return investments. ✓

B) Allocate primarily to fixed income to reduce risk to the payments they were set up to provide. ✗

C) Allocate primarily to risky and illiquid assets to provide high expected returns in the long run. ✗

Explanation

Institutional investors have obligations to both current beneficiaries who require spending and liquidity in the short term and future beneficiaries who require long-term real growth. A balance is required between these two extremes tailored to the needs of the institution.

(Module 12.4, LOS 12.c)

Question #31 of 46

Question ID: 1674851

Which of the following asset classes are available to meet liquidity needs in a crisis?

A) Private equity, real estate, infrastructure, and fixed income. ✗

B) Real estate and fixed income. ✗

C) Fixed income. ✓

Explanation

Liquid asset class such as private equity, real estate, and infrastructure will not be available in a crisis. Cash and fixed-income asset classes have higher liquidity.

(Module 12.1, LOS 12.a)

Question #32 of 46

Question ID: 1674873

Which of the following is not categorized as a climate mitigation opportunity?

A) Water treatment. ✓

B) Batteries and storage. ✗

C) Materials. ✗

Explanation

Climate mitigation opportunities are via companies that are positioned to benefit directly or indirectly from efforts to curb or mitigate the long-term effects of climate change. Examples include clean energy, energy efficiency, batteries and storage, smart grids, and materials.

Climate adaptation opportunities includes companies that would help better adjust to actual or expected future changes in the climate with an aim to reduce vulnerability to the harmful effects of climate change (e.g., help adapt to sea level rise and frequent weather events). Examples include sustainable agriculture and water businesses, such as wastewater treatment and reuse.

(Module 12.3, LOS 12.b)

Question #33 - 36 of 46

Question ID: 1674895

Thatcher asks Frankland and Yardley if they think liquidity risk will be highlighted as a significant risk for CE as a result of these two investments. Which of the following is *most accurate*?

A) Yes; both are direct investments in private equity. ✗

B) Yes; both are long-term illiquid investments. ✗

C) No; they represent relatively small allocations. ✓

Explanation

The proposed new investments of £50 million represent only 1.2% of assets under management. This addition, therefore, is unlikely to have a significant effect on the overall liquidity of the CE endowment. Having said this, the individual projects are likely to be illiquid, and so assessing the cash flow impacts will still be important.

(Module 12.4, LOS 12.c)

Question #34 - 36 of 46

Question ID: 1674896

In relation to the statement made by Yardley regarding capital calls, which of the following is *most accurate*?

A) Yardley is correct; capital calls are likely to slow down. ✗

B) Yardley is incorrect; capital calls are unlikely to be impacted. ✗

C) Yardley is incorrect; capital calls are likely to speed up. ✓

Explanation

During a crisis, capital calls are likely to accelerate as attractive investment opportunities present themselves. In a crisis, if liquidity dries up, investors and market participants look for any source of liquidity available, increasing the likelihood of increased capital calls. This uncertain timing of capital calls may cause liquidity problems for CE if it has insufficient short-term liquidity.

(Module 12.4, LOS 12.c)

Question #35 - 36 of 46

Question ID: 1674897

At the investment committee meeting, Catherine Emmanuel explains her risk concerns in further detail. Which of Emmanuel's concerns is *most likely* to be incorrect?

A) The denominator effect increases the risk of both projects in a market crisis. ✗

B) As both are direct investments, CE has increased liability risk from the projects. ✗

C) As both are direct investments, CE has increased liquidity risk from the projects. ✓

Explanation

Direct investments provide increased control over the timing of exits. In contrast, indirect investments in funds are more restrictive, offering less control over the timing of exits. As the two proposed private equity projects are direct investments, this reduces liquidity risk for CE due to the greater control over the timing of exits.

The denominator effect occurs in a market downturn, when traditional assets fall in value—but when alternative assets, such as private equity, are not revalued as frequently (stale pricing). This results in allocations to private equity increasing due to the fall in the denominator (assets under management) but no changes to the value of the numerator (the private equity allocation).

Direct investments increase the potential for liability claims due to the direct ownership in the business. Claims for negligence as a result of business decisions and actions made are an important consideration. This is contrasted with indirect investments in a fund, where liability is limited to the amount invested.

(Module 12.4, LOS 12.c)

Question #36 - 36 of 46

Question ID: 1674898

Which of the following risk concerns raised by Catherine Emmanuel is *most likely* to require action by CE?

A) CE has adopted an asset-only risk tolerance statement. ✗

B) CE adopts a silo approach to risk management. ✓

C) CE uses different risk methodologies for different asset classes. ✗

Explanation

Enterprise risk management (ERM) is an integrated approach to risk management that considers firmwide risk impacts and the interactions between risks. Risks overlap and impact each other—especially in a crisis where market risk, credit risk, and liquidity risk often amplify each other. CE should address this silo approach and take more of an enterprise-wide view of risk management.

(Module 12.4, LOS 12.e)

Question #37 of 46

Question ID: 1674872

Which organization mandates that banks, asset managers, and asset owners use scenario analysis to estimate the risks and opportunities of climate change and make appropriate disclosures?

A) Neither the Intergovernmental Panel on Climate Change nor the Task Force on Climate-Related Disclosures. ✓

B) The Task Force on Climate-Related Disclosures. ✗

C) The Intergovernmental Panel on Climate Change. ✗

Explanation

The Task Force on Climate-Related Disclosures recommends (not mandates) that banks, asset managers, and asset owners use scenario analysis to estimate the risks and opportunities of climate change and make appropriate disclosures.

(Module 12.3, LOS 12.b)

Question #38 of 46

Question ID: 1674879

Which of the following is a commonly overlooked risk by institutional investors?

A) Currency risk. ✓

B) Inflation risk. ✗

C) Credit risk. ✗

Explanation

Currency risk and asset allocation drift are the two commonly overlooked risks for institutional investors.

(Module 12.4, LOS 12.c)

Question #39 of 46

Question ID: 1674871

Which of the following is not a risk measure estimating losses beyond a value-at-risk (VaR) estimate?

A) Conditional VaR. ✗

B) Unexpected tail loss. ✓

C) Expected shortfall.

Explanation

The average loss in the tail of a distribution that lies beyond a VaR estimate is conditional VaR, also known as expected tail loss and expected shortfall.

(Module 12.2, LOS 12.e)

Question #40 of 46

Question ID: 1674866

Which of the following *most accurately* describes the ultimate risk consideration of institutional investors?

A) To maximize the risk-return tradeoff.

B) To be able to meet contractual payments.

C) To optimize the risk-return tradeoff.

Explanation

The ultimate risk consideration of institutional investors is to be able to meet the contractual payments that the institution was set up to provide.

(Module 12.2, LOS 12.e)

Question #41 of 46

Question ID: 1674876

You are conducting due diligence before investing in a fund containing long-term illiquid assets. Which of the following is not critical to evaluate before investing as part of the due diligence process?

A) Track record of the brokerage firm.

B) Independence of the external auditors.

C) Quality of the non-executive directors.

Explanation

As part of the due diligence process, it is critical to cover the quality of the non-executive directors, the integrity and independence of the auditors, and the character of the decision makers. The track record of the brokerage firm is not specifically listed, although it is important to consider the independence of the firm from the manager as evidenced from the Madoff fraud.

(Module 12.4, LOS 12.c)

Question #42 of 46

Question ID: 1674881

Which of the following is an advantage of an indirect form of investment in long-term illiquid assets over a direct investment approach?

A) There is greater liquidity. ✗

B) It is easier to manage capital. ✗

C) There is lower concentration risk. ✓

Explanation

Indirect investments in illiquid assets via investment funds are more diversified (less concentrated) than direct investments.

However, indirect investments have lower liquidity (due to having less control over exits) and higher fees. It can be more challenging to manage capital due to the potential for unfunded commitments (e.g., capital calls).

(Module 12.4, LOS 12.d)

Question #43 of 46

Question ID: 1674877

What is the main motivation behind pension funds and sovereign wealth funds building internal teams of merchant banking professionals?

A) Increase managerial control of projects. ✗

B) Reduce investment management fees. ✓

C) Increase liquidity via the timing of exits. ✗

Explanation

The main motivation is to reduce the expensive annual management and incentive fees paid to general partners in the private equity sector.

(Module 12.4, LOS 12.c)

Question #44 of 46

Question ID: 1674865

With an external manager approach, which of the following is a good starting point in planning and developing liquidity parameters at the portfolio level?

A) The legal terms in place.

B) The liquidity horizon report.

C) The stress test results.

Explanation

A good starting point for developing liquidity parameters with external managers is to look at the legal terms in place governing redemption notices and lockups. In the case of internal investment management, a more granular assessment can be made on the types of securities being held and gauging what can be sold over different time frames during a financial crisis.

(Module 12.2, LOS 12.e)

Question #45 of 46

Question ID: 1674880

Illiquid investments require institutional investors to consider how which of the following two risks interact?

A) Liquidity risk and market risk.

B) Credit risk and market risk.

C) Credit risk and liquidity risk.

Explanation

Long-term illiquid investments require considerable analysis of the interactions between market risk and liquidity risk, especially in stressed and crisis conditions.

(Module 12.4, LOS 12.c)

Question #46 of 46

Question ID: 1674883

Which of the following is the main motivation for large pension funds and sovereign wealth funds to set up their own large team of merchant banking professionals experienced in making direct investments in illiquid asset classes?

A) To reduce concentration risks.

B) To increase liquidity.

C) To save on fund management fees.

Explanation

The main motivation for large pension funds and sovereign wealth funds to set up their own large team of merchant banking professionals experienced in making direct investments in illiquid asset classes is to save on fund management fees (typically 2% base and 20% on profits over a hurdle rate).

(Module 12.4, LOS 12.d)